



Full Length Articles

Historical military conflict, current trade tensions, and global supply chains

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ARTICLE INFO

Dataset link: [Historical Military Conflict, Current Trade Tensions, and Global Supply Chains \(Reference data\)](#)

JEL codes:

F13

F14

F51

D91

D74

Keywords:

Firm supplier choice

Global supply chain

Trade war

Military conflict

Geoeconomic fragmentation

ABSTRACT

We study how two significant conflicts between China and the U.S.—the Korean War and the current trade war—affect global supply chains. Using hand-collected data, we find that the death toll from the Korean War in a chairperson's city of origin strongly influences Chinese firms' selection of U.S. suppliers today. Moreover, the current trade tensions reactivate memories of wartime **trauma**, significantly amplifying their negative effects. We identify two key mechanisms driving this change: **Chinese retaliatory tariffs** and increased media coverage of the Korean War within China. A variety of empirical tests suggest that our findings are causal and are not a result of U.S. suppliers' choice.

1. Introduction

After decades of increasing globalization in trade and production activities, the last decade has witnessed a notable slowdown. The Russo-Ukrainian War that started in 2014 and escalated in more recent years has raised concerns about the vulnerability of global supply chains to military conflicts and geopolitical risks. Meanwhile, worries about import competition and domestic labor markets have led to a global surge in protectionism and heightened trade tensions, with the U.S.-China trade war being particularly significant. The looming threat of geoeconomic fragmentation of trade and investment has drawn the attention of both researchers and policy-makers (e.g., [World Trade Organization, 2023](#); [Alfaro and Chor, 2023](#); [Gopinath et al., 2025](#)).

As the two largest economies in the world, the U.S. and China have evolved from cold war rivals to deeply intertwined economic partners, each playing a pivotal role in shaping global trade and production networks. Understanding how past military conflicts and current trade tensions between these two nations—and the interplay between them—impact global supply chains is therefore a research priority. How do past military conflicts affect firms' sourcing decisions? **More importantly, can the memory of past conflicts be**

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reactivated by new trade tensions, influencing firm sourcing behavior even in the absence of direct policy interventions?

This study seeks to address these two important but underexplored questions. To date, little research has examined the impact of past military conflicts between the U.S. and China on firms' sourcing decisions. While a growing body of literature has analyzed the recent U.S.-China trade war, most studies focus on the direct effects of tariffs, with limited attention to the interaction between the trade war and historical military conflicts.¹ Moreover, existing research often relies on U.S. data, emphasizing the impact on U.S. firms, while the behavior of Chinese firms remains less understood (Jiao et al., 2024).

Specifically, we examine how two major conflicts between the U.S. and China—the Korean War and the ongoing trade war—and, in particular, their interplay influence Chinese firms' choice of U.S. suppliers. To conduct this analysis, we construct a unique dataset on Korean War martyrs by manually collecting data from the official website of *Chinese National Heroes*. This dataset includes information on 188,285 martyrs, along with their places of origin. We calculate the martyr-to-population ratio for each Chinese prefecture-level city and match these data with the city of origin of the chairperson for each publicly listed Chinese firm.

To measure the selection of suppliers, we extract the firm-to-firm supply chain data from the FactSet Revere database and calculate the number and proportion of U.S. suppliers for each Chinese firm-year unit. By including the firm, firm-locality-year, and industry-year fixed effects in our estimations, we exploit the changes in the supply chain relationships for each firm when a new chairperson with different exposures to Korean War death is appointed. The inclusion of the time-varying firm locality city fixed effects enables us to disentangle the inherited chairperson imprinting effect from that of external environmental factors, such as economic development, openness, institutional environment, and also local attitudes toward the U.S. Controlling for the firm and the industry-year fixed effects further mitigates the possibility that some firm-level or industry-year-level characteristics correlated with the selection of chairpersons and the selection of U.S. suppliers are driving the results.

We find that a firm is less likely to establish relationships with U.S. suppliers if its chairperson's city of origin suffered severe casualties during the Korean War. The benchmark results indicate that a one-standard-deviation increase in the Korean War martyr ratio in chairperson's birthplace is associated with a 25.27% decrease in the U.S. supplier ratio on average.

Next, we examine how the recent trade war, in conjunction with past military conflicts, affects Chinese firms' selection of U.S. suppliers. An important feature of memories, as documented by both psychological and biological research, is associativeness. The similarity between current and past events can facilitate recall (e.g., Fanselow and Poulos, 2005; Suzuki, 2005). Economists have also investigated how associative memories affect economic behaviors (e.g., Mullainathan, 2002; Fouka and Voth, 2023; Ochsner and Roesel, 2024). To the extent that the current trade war resembles past conflicts, it can reactivate memories of the Korean War in China. Our results show that the trade war indeed increases the salience of the Korean War in Chinese firms' sourcing decisions. Notably, the negative effect of the Korean War martyr ratio on the selection of U.S. suppliers doubles in magnitude after the onset of the trade war.

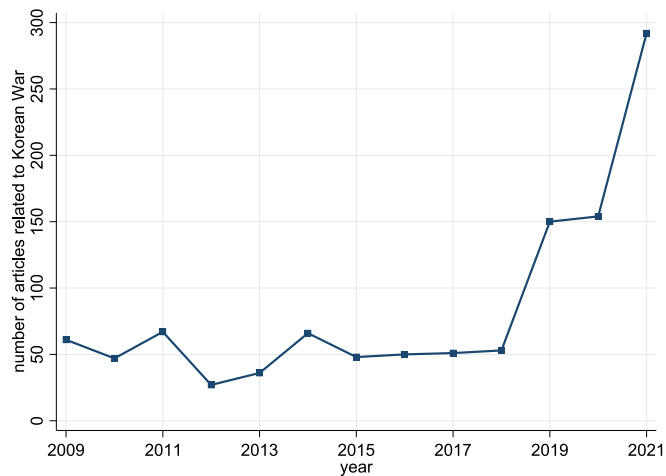
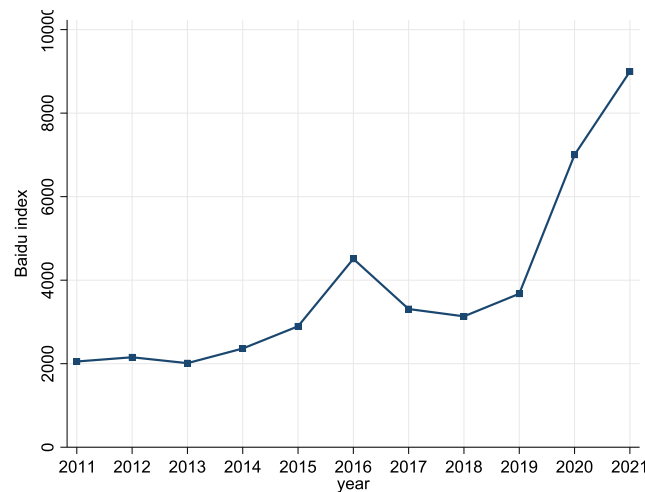
When examining the effects on other suppliers, we find that exposure to Korean War trauma has no significant impact on other foreign suppliers but exerts a significantly positive effect on domestic suppliers. This indicates a substitution between U.S. and domestic suppliers. Moreover, this finding suggests that the animosity arising from the Korean War is specifically directed at the U.S., ruling out the possibility that our results stem from a general anti-foreign sentiment in the chairperson's city of origin. This interpretation is consistent with the fact that, in China, the Korean War is officially referred to as the “War to Resist U.S. Aggression and Aid North Korea” (Kang Mei Yuan Chao, in Chinese), underscoring the U.S. as the primary adversary. Additionally, the combined effects of war trauma and trade tensions on other types of suppliers are also found to be insignificant. This confirms that the pronounced reactivation effect of the trade war on U.S. suppliers is not driven by common shocks affecting all suppliers after 2018.

To shed light on the underlying mechanisms of the reactivation effect of the trade war, we then explore two channels corresponding to the two countermeasures adopted by China in response to U.S. tariff hikes. The first one is a retaliatory tariff channel. While we find that, on average, a firm's exposure to Chinese retaliatory tariffs has no significant effect on its selection of U.S. suppliers, it does significantly amplify the negative impact of the past military conflict. Second, we test whether the reactivation of war memory affects supply chains also through a media channel. Following the U.S. initiation of the trade war, China responded with both actions and rhetoric. In addition to implementing retaliatory tariffs, media coverage of past conflicts between the two nations—particularly the Korean War—increased dramatically in China. The number of Korean-War-related articles in the *People's Daily*, the official newspaper of the Communist Party of China, surged after 2018 (see Panel A of Fig. 1). Consistent with the notion that increased media coverage reactivates memories of the past, we find that a high frequency of Korean-War-related articles reported in the *People's Daily* significantly amplifies the negative impact of war trauma on the selection of U.S. suppliers.

We also conduct a decomposition analysis to separately examine the effects on the extensive and intensive margins of firms' supplier choices. We find that Korean War trauma significantly influences the intensive margin throughout the entire sample period. Moreover, the trade war significantly intensified the effects of war trauma on both the extensive and intensive margins through the retaliatory tariff and media channels.

Our results remain robust when controlling for additional geopolitical shocks, more confounders in chairperson's city of origin, firms' export orientation, and also the chairperson fixed effects. Placebo tests using martyrs from the War against Japanese Invasion during 1937–1945 show no effect on Chinese firms' choice of U.S. suppliers, but they do have a significantly negative effect on the selection of Japanese suppliers. Additionally, we adopt an instrumental variable (IV) approach to address potential concerns regarding omitted variables and measurement errors. Finally, we also provide two additional pieces of evidence to rule out a competing explanation that our results are driven by the choices of U.S. firms. First, we use individual-level survey data to demonstrate that the

¹ See Fajgelbaum and Khandelwal (2022) for a review of the literature.

(A) Number of Korean-War-related articles in the *People's Daily*

(B) Baidu index for the Korean War

Fig. 1. Media Exposure of the Korean War in China (A) Number of Korean-War-related articles in the *People's Daily* (B) Baidu index for the Korean War Notes: Panel (A) plots the annual number of articles related to the Korean War in the *People's Daily* over the period of 2009–2021; Panel (B) plots the annual Baidu index for the keyword, “Korean War” (*Kang Mei Yuan Chao*, in Chinese) over the period of 2011–2021.

Korean War death toll has a negative effect on Chinese individuals' attitudes toward the U.S. today. Moreover, this negative effect increases significantly after the trade war and is further amplified by media coverage of Korean-War-related articles in China. Second, we analyze U.S. firm data to provide direct evidence that the likelihood of establishing a supply chain relationship with a Chinese customer is uncorrelated with the martyr intensity in the chairperson's birthplace.

Our study contributes to the relevant literature in several aspects. First, our paper is closely related to the growing literature that examines the effect of the U.S.-China trade war (Amiti et al., 2019; Cavallo et al., 2021; Fajgelbaum and Khandelwal, 2022; Fan et al., 2022; Alfaro and Chor, 2023; Handley et al., 2024; Huang et al., 2023; Charoenwong et al., 2023; Fajgelbaum et al., 2024; Freund et al., 2024; Jiao et al., 2024). Existing contributions focus primarily on the direct effects of tariffs and on the behavior of U.S. firms. By leveraging rich Chinese data, our paper adds new evidence on how the trade war, along with its interplay with past military conflicts, affects Chinese firms' sourcing decisions. Notably, we identify a novel effect of the trade war: it can reactivate memories of the past military conflict, amplifying its long-lasting negative effect on Chinese firms' selection of U.S. suppliers.

Second, our study is related to the literature on military conflicts and trade. Previous research has demonstrated that military conflicts can have both short-term and long-term effects on trade (e.g., Martin et al., 2008; Glick and Taylor, 2010; Michaels and Zhi, 2010; Qureshi, 2013; Che et al., 2015; Pandya and Venkatesan, 2016; Sun et al., 2021; Korovkin and Makarin, 2023; Korovkin et al., 2025; Fouka and Voth, 2023; Chen and Zhong, 2024). We provide complementary new evidence by identifying the long-term effects of the Korean War on contemporary supply chain relationships. Additionally, we show that current trade conflicts can amplify the effect of the past military conflicts on global supply chains. Our work also diverges from the existing literature in significant ways. First, while

existing work on the long-term effects of wars mainly studies the effects of local environmental factors at individual locality, we examine a different channel. We identify an **inherited personal imprinting effect** and isolate it from local environmental factors by controlling for time-varying firm-locality fixed effects. Second, while prior research often emphasizes individual behaviors, such as **consumer boycotts**, we focus on firm decisions.

Finally, our work also connects to the emerging empirical literature on **geoeconomic fragmentation** of global trade and investment. Studies in this literature have provided convincing evidence of declines in trade and foreign direct investment (FDI) activities along geopolitical lines (John et al., 2016; Goldberg and Reed, 2023; Aiyar et al., 2023, 2024; Blanga-Gubbay and Rubínová, 2023; Gopinath et al., 2025). Existing research concentrates mainly on the geopolitical aspects, often treating the rival geopolitical blocs as given. Our findings emphasize the critical role of the trade war in this context. We show that the trade war significantly amplifies the negative effects of the historical cold war rivalry between China and the U.S., contributing to further geoeconomic fragmentation.

The remainder of this paper is structured as follows. Section 2 provides background information on the Korean War and the trade war, and Section 3 describes our data and key variables. Section 4 presents our main results, and Section 5 provides additional evidence to strengthen our identification. Finally, Section 6 offers concluding remarks.

2. Background information

2.1. The Korean War

The Korean War began in June 1950 and ended in July 1953. The origins of this war can be traced back to World War II. After Japan surrendered to the Allies in 1945, the Korean Peninsula was divided. On each side of the 38th parallel, two separate governments were established in 1948: the Democratic People's Republic of Korea (DPRK) in the north supported by the Soviet Union, and the Republic of Korea (ROK) in the south backed by the U.S.

On June 25, 1950, the Korean People's Army (KPA) of DPRK crossed the 38th parallel and started the civil war. In response, the U.S. deployed **troops** to assist the South on June 27, 1950. Shortly thereafter, on October 19, 1950, the Chinese People's Volunteer Army entered the conflict to support the North. Both the U.S. and China committed significant manpower and resources to the Korean War, resulting in severe **casualties**. The U.S. sent over 1.7 million troops, while China deployed more than 2.9 million.² Although the war was relatively short, it was extremely bloody. According to the U.S. Department of Veterans Affairs, U.S. battle deaths totaled 33,739, with an additional 17,672 service members dying in non-battle incidents and 103,284 wounded. The Chinese side reported 197,653 deaths during the conflict.

Notably, while often referred to as “the forgotten war” in the U.S., the Korean War is considered as a significant milestone in the history of the People's Republic of China.³ It is commonly known as the “*War for the Founding of the Nation*” (Li Guo Zhi Zhan, in Chinese) and is viewed as a powerful symbol of national unity and resistance against U.S. aggression. This war holds a prominent place in China's patriotic education. For example, the Chinese primary school curriculum includes at least four articles dedicated to this conflict. Additionally, on the 50th, 60th, and 70th anniversaries of the Chinese People's Volunteer Army's participation in the Korean War, the government organized large-scale commemorative events to honor its significance. Studies in the political science literature have also underscored the critical role the Korean War played in the nation-building process of the People's Republic of China (Spence, 1990; Chen, 1994; Lieberthal, 2004; Sambanis et al., 2015).

2.2. The U.S.-China trade war

The trade war initiated by the U.S. government in 2018 led to significant increases in tariffs on imports from China, implemented in three rounds. In March 2018, President Trump imposed tariffs on \$50–60 billion worth of Chinese goods under Section 301 of the Trade Act of 1974. These initial tariffs took effect in July and August 2018. Following this, two additional rounds of tariffs were announced in July 2018 and August 2019, targeting \$200 billion and \$272 billion of Chinese imports, respectively. Most of these tariffs were enforced in September 2018 and again in June and September 2019, with rates ranging from 10% to 25%. Consequently, the average U.S. tariff on Chinese goods surged from 3.1% in January 2018 to 21.0% by December 2019—a level not seen since the **Smoot-Hawley Tariff Act of the 1930s**. In contrast, the average U.S. tariff on imports from other countries only modestly increased from 2.2% to 3.0% during the same period.

The Chinese government viewed these actions as unreasonable and responded with retaliatory tariffs on U.S. imports, targeting \$50 billion, \$60 billion, and \$75 billion worth of goods in three corresponding rounds. Consequently, the average tariff on U.S. goods in China climbed from 7.8% in 2017 to 25.9% in 2019.

The trade conflicts escalated tensions in bilateral relations, echoing patterns seen in past conflicts between the two nations. For instance, an editorial of *Global Times*, a Chinese national newspaper under the *People's Daily*, in 2019 stated, “China should fight the trade war as it did the Korean War.” Similarly, in a speech commemorating the 70th anniversary of the Korean War in 2020, President

² See more details from the webpage: https://www.va.gov/opa/publications/factsheets/fs_americas_wars.pdf.

³ The Korean War has the reputation of “the forgotten war” in the U.S. While not reported in the paper, we find that the number of articles related to the Korean War reported in major U.S. national newspapers is much less than that of the *People's Daily*.

Xi Jinping emphasized resisting “U.S. aggression,” a statement widely interpreted as linking historical memory to current geopolitical tensions.⁴ The resurgence of Korean War narratives in China has also drawn attention from Western media.⁵

Following the onset of the trade war, there has been a surge in television series and films related to the Korean War in China. For instance, the film *The Battle at Lake Changjin*, released in 2021, grossed 5.7 billion RMB, making it the highest-grossing movie in China. This reflects a notable shift in both government and public attitudes toward the U.S. following the trade war. In stark contrast, prior to the trade war, a television series titled *Korean War*, produced in the 1990s with an investment of approximately 33 million RMB and featuring 100,000 military personnel, remained *shelved* for 20 years in China.

3. Data and variables

3.1. Data sources and sample

We construct our dataset by combining firm-level supply chain data from the FactSet Revere database, Korean War martyr data from the official website of *Chinese National Heroes*, chairperson name and birthplace information, along with firm financial statements from the China Stock Market and Accounting Research database (CSMAR). Following standard data cleaning procedure, we restrict our sample to nonfinancial firms that employ at least 10 workers, have positive number of suppliers, assets, liabilities, and sales, and possess biographical information about their chairpersons. To ensure that a firm's selection of U.S. suppliers is not influenced by U.S. sanctions, we also exclude 10 firms included in the *Entity List* (the Part 774, Supplement No. 4) of the U.S. government.⁶ Our final panel dataset consists of 1168 Chinese listed firms over the period of 2009–2021, covering 62 industries under the 2012 CSRC (China Securities Regulatory Commission) Industry Classification.

In addition to these main data sources, we obtain supplementary data from several other sources, including individual attitude survey data from *The China Family Panel Studies* (CFPS), the import and export data from the *Chinese Custom* database, and the *2009 World Input-Output database*. Detailed data sources and variable definitions are provided in Online Appendix B. Online Appendix C offers summary statistics.

3.2. Key variables

3.2.1. Supply chain relationship

Our main outcome variable is firm-level supply chain relationship with the U.S. We obtain this information from the FactSet Revere database, which provides customer-supplier dyad relationship information worldwide and has been used in recent studies on global supply chains (Adelino et al., 2023; Pankratz and Schiller, 2024). Specifically, we choose Chinese listed firms based on ISIN identifiers as the customers in the supply chain dyad relationship from the FactSet database. In total, we identify 5542 supplier firms from 74 countries, resulting in 21,693 customer-supplier-year relationships over the period from 2009 to 2021.

We then construct our main outcome variable, *US_Ratio*, defined as the number of U.S. suppliers as a share of the total number of suppliers for each firm-year unit. We also compute other related supply chain variables, such as the proportion of Chinese, South Korean, U.K., and Japanese suppliers. Online Appendix Fig. A1 shows the sourcing countries of Chinese firms. The U.S. accounts for the largest share of foreign suppliers at 30.47%, followed by Japan and Germany.

3.2.2. Korean war martyrs

The key explanatory variable in our empirical analysis is the exposure to Korean War trauma in a chairperson's birthplace. We follow the literature and use the *death toll* to capture the psychological sequelae of the war. Deaths among family members, relatives, and friends can lead to significant trauma, and the presence of state-recognized martyrs encourages local governments to conduct commemorative events that reinforce memories of the war. This personal imprinting effect in a birthplace can persist even if individuals migrate elsewhere. To construct this measure, we manually collect the Korean War martyr information from the website of *Chinese National Heroes*, which publishes a total of 188,285 martyrs along with their biographical details, including birth and death places and dates.⁷ The total number of Korean War deaths recorded by the Ministry of Civil Affairs of China and the General Political Department of the People's Liberation Army (PLA) is 197,653.⁸ The website's coverage of martyr information is therefore relatively comprehensive. Online Appendix Fig. A2 provides an illustration of a martyr case from the website.

Based on martyrs' birthplace information, we count the number of martyrs for each Chinese prefecture-level city. To account for the effect of city size, we normalize the number of martyrs by city population in 1953, where the population data is obtained from the 1985 *China Population Statistical Yearbook*. Fig. 2 plots the geographical distribution of the Korean-War martyr ratio, defined as the number of Korean-War martyrs per thousand population in 1953. There is a considerable variation across cities. Among the 334 prefecture

⁴ See <https://www.globaltimes.cn/page/201905/1150664.shtml> for the editorial and <https://www.chinadaily.com.cn/a/202010/23/WS5f923acaa31024ad0ba80812.html> for President Xi's speech.

⁵ See, for example, the following reports of the *Diplomat*: <https://thediplomat.com/2019/06/the-dangerous-reprise-of-chinese-korean-war-propaganda/> and <https://thediplomat.com/2020/06/the-war-to-resist-america-how-china-remembers-the-korean-war/>.

⁶ Our results remain unchanged if we include these 10 firms on the *Entity List* in our sample.

⁷ The address of this website is <http://www.chinamartyrs.gov.cn>.

⁸ See http://www.mod.gov.cn/education/2018-04/05/content_4808716_2.htm for details.

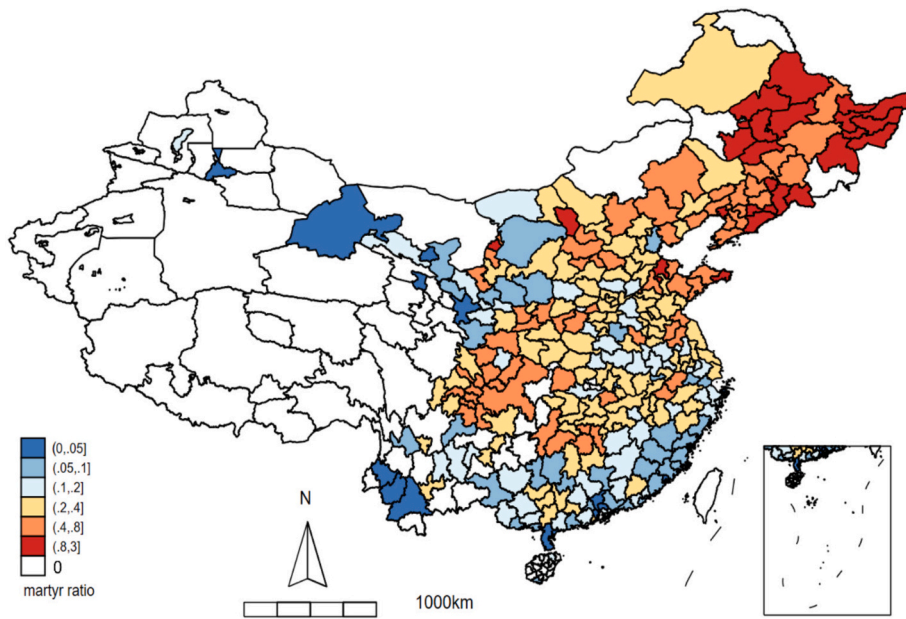


Fig. 2. Korean war martyr intensity across Chinese Prefecture Cities Notes: This figure depicts the Korean War martyr intensity in each Chinese prefecture-level city. The martyr intensity is defined as the number of martyrs per thousand city's population in 1953.

cities in China, 315 have at least 1 martyr. 29 cities have less than 0.05 martyr per one thousand people, and 15 cities have more than 1 martyr per one thousand people.

Next, we obtain the biographical information for corporate chairpersons from the CSMAR's Corporate Directors' Characteristics Database. For firms with missing birthplace information for their chairpersons, we conduct extensive internet searches to identify their birthplaces.⁹ In total, we acquire birthplace data for 3073 chairpersons during the period from 2009 to 2021. These chairpersons come from 310 prefectures, with 59.88% working in regions different from their birthplaces. We then merge the regional martyr information with the chairperson birthplace data to calculate the martyr ratio in each chairperson's city of origin. We focus on chairpersons rather than other corporate insiders because, in China, chairpersons play a much more important role in business decision-making than general managers do (e.g., Chen et al., 2022). Moreover, birthplace information is also rather limited for other corporate insiders.

3.2.3. Media coverage

To measure media coverage of the Korean War in China, we count the number of articles related to the Korean War reported by the *People's Daily*, the official newspaper of the Communist Party of China (CPC), which provides direct information on the policies and viewpoints of the Chinese authority. We collect the titles and content of every article from the *People's Daily's* website.¹⁰ We then use the demeaned log number of Korean War-related articles published each year, *KW_Articles*, as our measure of official media coverage. Panel A of Fig. 1 illustrates the annual number of Korean-War-related articles in the *People's Daily* from 2009 to 2021, showing a dramatic increase in coverage following the trade war.

4. Main results

4.1. The long-term effect of Korean war memories on supply chains

To examine the impact of Korean War martyrs in a chairperson's city of origin on firm's selection of U.S. suppliers, we estimate the following baseline specification:

$$US_Ratio_{i,j,k,l,s,t} = \alpha + \beta Martyr_{i,k,t} + \gamma' X_{i,j,t} + \mu_j + \lambda_{l,t} + \tau_{s,t} + \varepsilon_{i,j,k,l,s,t}, \# \quad (1)$$

where i, j, k, l, s , and t denote chairperson, firm, chairperson birthplace, firm's city of location, industry, and year, respectively. The dependent variable is the number of the U.S. suppliers scaled by the total number of suppliers for firm j in year t . $X_{i,j,t}$ is a set of control variables related to firm and chairperson characteristics, including firm size measured as the logarithm of total assets, return on assets (ROA), leverage, Tobin's Q, board size, board independence, a dummy for state-owned-enterprises (SOE), and the chairperson's age,

⁹ See Chen et al. (2022) for details of the searching procedures.

¹⁰ The address of the website is <http://www.peopledaily.com.cn>.

gender, and education level. To account for the possibility that firms with greater U.S. market exposure may source more from U.S. suppliers, we also control for the U.S. customer ratio, defined as number of U.S. customers as a share of total customers. Our main variable of interest, $Martyr_{i,k,t}$, is the Korean War martyr ratio in chairperson i 's city of origin k . A negative and statistically significant coefficient on the martyr variable ($\beta < 0$) indicates that a firm is less likely to choose a U.S. supplier if its chairperson is from a prefecture with a higher percentage of Korean War martyrs.

To better establish causality, we employ various identification strategies. First, since the Korean War can also induce changes in local environments, there is a concern that our results reflect the change in the local external environment at firm location rather than the impact of chairperson's birthplace war exposure. To address this concern, we include the time-varying firm locality fixed effects ($\lambda_{l,t}$) in the baseline specification to disentangle the effect of the inherited component of war exposure from those of external environmental factors.

Second, there might be concerns that unobserved firm-level attributes, such as corporate culture, are driving our results. To address this issue, we include the firm fixed effects (μ_i) in the regression, relying on within-firm variation across chairpersons for identification. Third, we incorporate the time-varying industry fixed effects ($\tau_{s,t}$) in the regression to control for the potential confounding effects at the industry-year level. Finally, in Section 5, we further strengthen our identification by controlling for additional chairperson birthplace and firm characteristics and the chairperson fixed effects, conducting a series of placebo tests, and employing an IV strategy. We also provide additional evidence to rule out a competing hypothesis.

Columns (1)–(3) of Table 1 report the baseline estimation results from Eq. (1). In column (1), we control only for the firm, firm locality-year, and industry-year fixed effects. Column (2) adds firm-level controls, and column (3) presents our baseline regression results, which further controls for chairperson characteristics. Across all three specifications, the estimated coefficients on $Martyr_{i,k,t}$ are negative and statistically significant. These findings indicate that firms are significantly less likely to establish supply chain relationships with U.S. suppliers if their chairpersons are from Chinese prefectures with higher martyr ratios.

The estimated effect is also economically meaningful. For instance, the coefficient in column (3) indicates that a one-standard-deviation increase in the martyr ratio (0.197) in a chairperson's city of origin is associated with a reduction of 1.06 percentage points in the share of U.S. suppliers. Given that the average share of U.S. suppliers in our sample is 4.21%, this represents a 25.27% decrease relative to the sample mean. As for the control variables, we find that firm size, Tobin's Q, and U.S. customer ratio are positively related to the share of U.S. suppliers, while board size, ROA, and leverage are negatively related. The coefficients on other variables are insignificant.

To further test robustness, column (4) uses an alternative sample that includes only chairpersons from prefectures with at least one martyr. The results remain consistent, with the coefficient on the martyr variable still being negative and significant.

4.2. How present trade conflicts reactivate past war trauma

Associativeness is an important feature of memories. Psychological and biological research shows that current events reactivate memories of the past when they are perceived as paralleling historical narratives (e.g., Fanselow and Poulos, 2005; Suzuki, 2005). In this section, we leverage the U.S.-China trade war as the event that renewed the salience of historical conflicts, and explore how the trade war reactivates memories of Korean War trauma in China and shapes supply chain relationships.

To investigate how the trade war influences the impact of historical military conflicts, we interact the martyr ratio in chairperson's city of origin with a post 2018 dummy and include this interaction term in our baseline model. The results, reported in column (5) of Table 1, reveal that the coefficient on the martyr ratio remains negative and statistically significant. Importantly, the interaction term is also significantly negative, indicating that the adverse effect of the martyr ratio intensifies after the onset of the trade war. Moreover, the interaction effect is also quantitatively substantial. The two estimated coefficients suggest that the negative effect of a chairperson's exposure to Korean War trauma on the selection of U.S. suppliers doubles in magnitude after the trade war. Finally, column (6) conducts the same robustness check as in column (4) using a restricted sample that contains only chairpersons from prefectures that have at least one martyr. The results remain unchanged.

4.3. The effects on other suppliers

In Table 2, we explore the effects on other suppliers. Panel A estimates the long-term impact of war memories using Eq. (1). Columns (1) and (2) use the ratio of non-U.S. foreign suppliers and the ratio of foreign suppliers from countries that did not participate in the United Nation (UN) forces during the Korean War as the dependent variables, respectively. Column (3) tests the long-term effect of war memories on the ratio of suppliers from other English-speaking countries. In all three columns, the estimated coefficients on the martyr variable are statistically insignificant, indicating that Korean War memories do not influence the selection of these types of suppliers.

Columns (4) through (6) examine the effects on the suppliers from South Korea, the U.K., and Japan, respectively. South Korea was another primary adversary of China during the Korean War, and the U.K. contributed the second-largest troop presence in support of the UN forces. Although Japan did not sent troops directly, it served as a key production base for the UN forces. Additionally, the U.K. and Japan also fought against China during the Opium Wars and the War against Japanese Invasion. Despite these adversarial histories, the estimation results reveal no significant effect on the selection of suppliers from these countries. The findings across columns (1)–(6) help to rule out the possibility that our results are driven by a general local anti-foreign sentiment in a chairperson's birthplace affecting all foreign suppliers. Moreover, to the extent official state actions play a key role in shaping the impact of collective memory

Table 1

The effects of Korean War Trauma and trade tensions on the selection of U.S. suppliers.

	(1)	(2)	(3)	(4)	(5)	(6)
Martyr	−0.059*** (0.020)	−0.051** (0.020)	−0.054*** (0.020)	−0.061*** (0.022)	−0.040** (0.020)	−0.049** (0.022)
Martyr × Post 2018					−0.050** (0.024)	−0.051** (0.026)
Log asset		0.028*** (0.004)	0.027*** (0.004)	0.029*** (0.004)	0.027*** (0.004)	0.029*** (0.004)
ROA		−0.045** (0.019)	−0.046** (0.019)	−0.049*** (0.018)	−0.045** (0.019)	−0.048*** (0.018)
Leverage		−0.034** (0.017)	−0.035** (0.017)	−0.040** (0.016)	−0.035** (0.017)	−0.039** (0.016)
Tobin's q		0.004*** (0.002)	0.004*** (0.002)	0.004*** (0.002)	0.004*** (0.002)	0.004*** (0.002)
Board size		−0.002*** (0.001)	−0.002*** (0.001)	−0.002*** (0.001)	−0.002*** (0.001)	−0.002*** (0.001)
Board independence		0.020 (0.049)	0.024 (0.049)	0.039 (0.051)	0.021 (0.049)	0.037 (0.051)
SOE		0.010 (0.011)	0.011 (0.011)	0.010 (0.011)	0.010 (0.011)	0.010 (0.011)
US customer ratio		0.083*** (0.026)	0.082*** (0.026)	0.080*** (0.027)	0.082*** (0.026)	0.080*** (0.027)
Age			0.001* (0.001)	0.001 (0.001)	0.001* (0.001)	0.001 (0.001)
Female			0.023 (0.022)	0.026 (0.023)	0.024 (0.022)	0.028 (0.023)
Chair_univ			−0.010 (0.007)	−0.007 (0.008)	−0.010 (0.007)	−0.008 (0.008)
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	9318	9642	9318
R-squared	0.553	0.559	0.560	0.564	0.560	0.565

Notes. This table reports the estimation results of the effects of Korean War martyr on the selection of U.S. suppliers in columns (1)–(4), and the interaction effect of Korean War martyr and trade war in columns (5) and (6). The dependent variable is the ratio of U.S. suppliers to the total number of suppliers. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *Post 2018* is a dummy that equals one for years after 2018. Columns (1)–(3) and column (5) use the full sample, and columns (4) and (6) only include firm-year observations with chairpersons from prefectures that have at least one martyr. All regressions include firm-level and chairperson-level controls, firm, firm-city × year, and industry × year fixed effects. Robust standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

on present-day behavior, these results are consistent with the fact that the Korean War is officially referred to in China as the “*War to Resist U.S. Aggression and Aid North Korea*”, which specifically identifies the U.S. as the primary adversary.

Finally, column (7) presents the estimation results using the Chinese domestic supplier ratio as the dependent variable in Eq. (1). The results reveal a significantly positive effect on Chinese domestic suppliers, indicating a substitution effect where firms reduce reliance on U.S. suppliers in favor of Chinese domestic suppliers.

Panel B of Table 2 further investigates the reactivation effect of the trade war. To do so, we re-estimate the regressions from Panel A, adding an interaction term between the martyr ratio and a post-2018 dummy variable as an additional explanatory factor. We find that, across all columns, the estimated coefficients on the interaction terms are insignificant. Taken together, the evidence from columns (5) and (6) of Table 1 and Panel B of Table 2 suggests the negative effect of the Korean War trauma on the selection of U.S. suppliers is significantly intensified after the trade war, while there is no corresponding change in the effects on other types of suppliers. This confirms that the pronounced reactivation effect of the trade war on U.S. suppliers is not driven by common shocks affecting all suppliers.¹¹

4.4. Understanding the mechanisms

To shed light on the underlying mechanisms that drive the reactivation effect of the trade war, we propose and test two channels corresponding to the two countermeasures by the Chinese side: a retaliatory tariff channel and a media channel. After the U.S. government imposed high tariffs on imports from China, the Chinese side responded by imposing retaliatory tariffs on U.S. imports. Meanwhile, media exposure related to the Korean War also increased substantially in China. The heightened media exposure facilitated reactivation of memories of past conflicts with the U.S. in China.

¹¹ We also explore in Appendix D potential heterogeneity in the reactivation effect across firm and industry characteristics.

Table 2

The effects on the selection of suppliers from other countries.

	Non-U.S. Foreign Supplier	Non-U.N. Forces Supplier	Other English-Speaking Countries' Supplier	South Korean Supplier	U.K. supplier	Japanese Supplier	Domestic Supplier
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Panel A							
Martyr	−0.022 (0.042)	−0.038 (0.035)	0.006 (0.026)	0.005 (0.009)	0.004 (0.006)	−0.001 (0.020)	0.168*** (0.046)
No. of Obs.	9642	9642	9642	9642	9642	9642	9642
R-squared	0.595	0.600	0.553	0.552	0.475	0.480	0.615
Panel B							
Martyr	−0.039 (0.045)	−0.049 (0.037)	0.000 (0.027)	0.009 (0.009)	0.002 (0.007)	0.006 (0.021)	0.160*** (0.049)
Martyr × Post 2018	0.062 (0.051)	0.043 (0.043)	0.022 (0.036)	−0.013 (0.009)	0.005 (0.009)	−0.024 (0.021)	0.028 (0.068)
No. of Obs.	9642	9642	9642	9642	9642	9642	9642
R-squared	0.595	0.600	0.553	0.552	0.475	0.480	0.615
Both panels include							
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Notes. This table reports the results of the effect of Korean War martyr on the selection of suppliers from other countries in Panel A, and the interaction effect of Korean War martyr and trade war in Panel B. The dependent variables are the ratios of non-U.S. foreign suppliers, non-UN forces suppliers, other English-speaking countries' suppliers, South Korean suppliers, U.K. suppliers, Japanese suppliers, and domestic suppliers, respectively. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *Post 2018* is a dummy that equals one for years after 2018. All regressions include firm-level and chairperson-level controls, firm, firm-city × year, and firm-industry × year fixed effects. Robust standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

4.4.1. The retaliatory tariff channel

We first examine how a firm's exposure to China's retaliatory tariffs influences the effect of its chairperson's war trauma on choosing U.S. suppliers. To measure a Chinese firm's exposure to the retaliatory tariffs, we construct the follow variable:

$$CN_Tariff_{j,t} = \sum_p \frac{Imp_{j,US,p,t0}}{Imp_{j,t0}} \Delta CN_Tariff_t^p, \# \quad (2)$$

where $\Delta CN_Tariff_t^p$ is the additional retaliatory tariff imposed by the Chinese government on imports from the U.S. for product p in year t . The Tariff Department of the Chinese Ministry of Finance (<http://gss.mof.gov.cn>) released an official list that specifies the taxed products by their Chinese names and HS 6-digit codes. We weight the product-level tariff by the initial import share of the Chinese firm from the U.S. to construct a firm-level exposure to retaliatory tariffs, $CN_Tariff_{j,t}$. $Imp_{j,US,p,t0}$ is the pre-trade-war import value of firm j for product p (HS 6-digit code) from the U.S, and $Imp_{j,t0}$ is the pre-trade-war total imports of firm j . Both values are calculated from the Chinese customs database and measured during the period of 2014–2016 to avoid the direct impact from the trade war.

We then estimate the following equation to examine how the retaliatory tariffs and its interaction with the Korean War martyr ratio in chairperson's city of origin affect Chinese firms' supplier choices:

$$US_Ratio_{i,j,k,l,s,t} = \alpha Martyr_{i,k,t} + \beta_1 Martyr_{i,k,t} \times CN_Tariff_{j,t} + \beta_2 CN_Tariff_{j,t} + \gamma X_{i,j,t} + \mu_j + \lambda_{l,t} + \tau_{s,t} + \varepsilon_{i,j,k,l,s,t} \# \quad (3)$$

The results are reported in Table 3. In column (1), we include only the firm's exposure to Chinese retaliatory tariffs in the regression. The estimated coefficient on the martyr variable remains significantly negative, while that on the tariff exposure is insignificant. The results suggest that, on average, Chinese retaliatory tariffs have no significant effect on firms' selection of U.S. suppliers. In column (2), we estimate Eq. (3) by adding the interaction term between the martyr ratio and the Chinese retaliatory tariff to the regression. The coefficient on this interaction term is significantly negative, indicating a significant differential effect of tariffs across firms. Specifically, firms led by chairpersons with significant exposure to Korean War trauma are less likely to choose U.S. suppliers after their costs of sourcing from the U.S. increase due to the retaliatory tariffs.

4.4.2. The media channel

To test how media coverage of the Korean War facilitates reactivation of war memories, we first provide a visual illustration of the

Table 3

The effects of retaliatory tariffs and media coverage.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Martyr	−0.054*** (0.020)	−0.048** (0.020)	−0.053*** (0.020)	−0.048** (0.020)	−0.044** (0.021)	−0.038* (0.021)	−0.044** (0.019)
CN_Tariff	−0.066 (0.060)	0.250** (0.118)		0.210* (0.122)		0.254** (0.122)	0.126 (0.126)
Martyr × CN_Tariff		−1.415*** (0.412)		−1.239*** (0.429)		−1.415*** (0.429)	−1.068** (0.449)
Martyr × KW_Articles			−0.048*** (0.016)	−0.036** (0.016)			−0.031* (0.017)
Martyr × Baidu Index					−0.070*** (0.022)	−0.054** (0.022)	
US_Tariff							0.157** (0.069)
Martyr × US_Tariff							−0.263 (0.239)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	9642	8591	8591	9642
R-squared	0.560	0.561	0.560	0.561	0.581	0.581	0.561

Notes. This table reports the estimation results of Chinese retaliatory tariff and media channels. The dependent variable is the U.S. supplier ratio. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *CN_Tariff* is the firm's exposure to Chinese retaliatory tariffs. *US_Tariff* is the firm's exposure to U.S. tariffs. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. *Baidu Index* is the demeaned logarithm of the annual Baidu index for the keyword "Korean War" (*Kang Mei Yuan Chao*, in Chinese). All regressions include firm-level and chairperson-level controls, firm, firm-city × year, and industry × year fixed effects. Robust standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

sharp increase in media coverage of the Korean War related articles in China after the trade war. In Panel A of Fig. 1, we show the number of Korean-War articles in the *People's Daily*. The number of such articles was relatively stable (within the range of 40–60 articles per year) before 2018, but it surged thereafter. Additionally, in Panel B of Fig. 1, we present the Baidu index for the Korean War in China. The Baidu index is similar to Google trends, reflecting the search interest for specific topics in China. This index serves as a proxy for public attention to the Korean War. We find that the search intensity for the keyword "Korean War" (*Kang Mei Yuan Chao*, in Chinese) also increased substantially after 2018.

To examine the impact of the surge in media exposure of the Korean War, we estimate the following empirical specification:

$$US_Ratio_{i,j,k,l,s,t} = \alpha Martyr_{i,k,t} + \beta Martyr_{i,k,t} \times KW_Articles_t + \gamma X_{i,j,t} + \mu_j + \lambda_{lt} + \tau_{s,t} + \varepsilon_{i,j,k,l,s,t} \quad (4)$$

where $KW_Articles_t$ is the demeaned logarithm of annual number of articles related to the Korean War in the *People's Daily*.

The estimation results are reported in column (3) of Table 3. The coefficient on the interaction term between the media exposure and the martyr ratio is significantly negative, suggesting that the frequency of Korean-War articles reported in the official newspaper amplifies the negative impact of martyr on firm use of U.S. suppliers. In column (4), we include both Chinese retaliatory tariffs and the number of Korean-War related articles, along with their interactions with the martyr ratio, in the regression simultaneously. We find that the coefficients on the two interaction terms are negative and significant, indicating that both channels are present. In columns (5) and (6), we replace *KW_articles* with the demeaned logarithm of the *Baidu Index*. The results again show that heightened public attention to the Korean War intensifies the negative effect on the selection of U.S. suppliers. To further control for the potential effects of U.S. tariff hikes on Chinese firms' sourcing decisions, we construct a measure of a firm's exposure to U.S. tariffs and include it, along with its interaction with the martyr ratio, as additional controls in column (7).¹² Our results remain unchanged.

4.5. Extensive and intensive margins

So far, we have focused on the overall impact of Korean War memories and their interplay with the trade war on Chinese firms' selection of U.S. suppliers. In this section, we conduct a decomposition analysis to separately examine the effects on the extensive and intensive margins of firms' supplier choices. The results are presented in Table 4.

Columns (1) to (3) report the effects on the extensive margin. In column (1), we estimate Eq. (1) using a binary indicator as the

¹² This measure is constructed as $US_Tariff_{jt} = \sum_p \frac{Exp_{j,US,p,t}^{p,0}}{Exp_{j,t,0}} \Delta US_Tariff_t^p$, where $\Delta US_Tariff_t^p$ is the additional tariff imposed by the U.S. on Chinese exports of product p in year t . $Exp_{j,US,p,t}$ and $Exp_{j,t,0}$ are export value for firm j of product p to the U.S. and firm j 's total export value measured in years 2014–16, respectively.

dependent variable, which equals one if a firm has at least one U.S. supplier in a specific year and zero otherwise. The estimated coefficient on the martyr ratio is negative but statistically insignificant. In column (2), we include an interaction term between the martyr ratio and the post-trade war dummy. This regression shows a significantly negative coefficient on the interaction term. Together, these results suggest that while Korean War memories do not significantly influence the extensive margin over the entire sample period, their impact becomes significantly negative after the trade war.

In column (3), we further explore how the interaction of the trade war and Korean War trauma affects the extensive margin through the retaliatory tariff and media channels. Here, we replicate the regression from column (4) of Table 3, substituting the dependent variable with the dummy for having U.S. suppliers. The findings confirm that both the retaliatory tariff and media channels are critical in driving the reactivation effect on the extensive margin.

Columns (4) to (6) present the results for the intensive margin. In this analysis, we restrict the sample to firms with at least one U.S. supplier and use the U.S. supplier ratio as the dependent variable. Column (4) reveals a significantly negative average effect of Korean War memories on the intensive margin across the entire sample period. Column (5) provides additional evidence of a significant reactivation effect of the trade war. Finally, column (6) confirms that both the retaliatory tariff and media channels play key roles in amplifying the effect of war trauma on the intensive margin.

These results from the two panels collectively highlight how Korean War memories, intensified by the trade war, influence both the likelihood of firms engaging with U.S. suppliers (extensive margin) and the degree to which they rely on them (intensive margin).

5. Strengthening identification

Our baseline empirical models include comprehensive controls at both the firm and the chairperson levels, in addition to a stringent set of fixed effects. In this section, we make further efforts to strengthen our identification.

5.1. Alternative clustering

We begin by conducting a robustness check to assess whether our results are sensitive to alternative clustering of the standard errors. In our main analysis, we cluster the standard errors at the city-of-origin-year level, as the variations in our key explanatory variables in the reactivation-effect regressions—namely, the interactions between the martyr ratio and the post-trade war dummy (or the two channels)—originate from this level. To ensure the robustness of our findings, we also explore several alternative clustering methods.

Specifically, we cluster standard errors at four additional levels: firm, industry, city-of-origin, and province-of-origin. For each clustering approach, we re-estimate two key regressions: one examining the average effect of Korean War trauma (reported in column (3) of Table 1), and the other focusing on the roles of the two channels in shaping the reactivation effect of the trade war (reported in column (4) of Table 3). The results, presented in Table 5, show that our findings are robust across all clustering methods. The evidence continues to support a negative and significant effect of Korean War memories on Chinese firms' selection of U.S. suppliers, as well as

Table 4
The effects on extensive and intensive margins.

	Extensive Margin			Intensive Margin		
	(1)	(2)	(3)	(4)	(5)	(6)
Martyr	−0.034 (0.042)	0.002 (0.041)	−0.026 (0.041)	−0.194*** (0.073)	−0.138* (0.077)	−0.171** (0.072)
Martyr × Post 2018		−0.133** (0.055)			−0.204** (0.091)	
CN_Tariff			0.300 (0.240)			1.435** (0.584)
Martyr × CN_Tariff			−1.407* (0.784)			−8.793*** (2.387)
Martyr × KW_Articles			−0.099*** (0.038)			−0.155** (0.063)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	2518	2518	2518
R-squared	0.613	0.614	0.614	0.637	0.638	0.644

Notes. This table reports the estimation results on the extensive and intensive margins. The dependent variable in columns (1) to (3) is a U.S. supplier dummy, which equals one if the firm has at least one U.S. supplier in a given year and zero otherwise. The dependent variable in columns (4) to (6) is the U.S. supplier ratio. For columns (4)–(6), the sample is restricted to firms that had U.S. suppliers during the sample period. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *Post 2018* is a dummy that equals one for years after 2018. *CN_Tariff* is the firm's exposure to the retaliatory tariffs. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. All regressions include firm-level and chairperson-level controls, firm, firm-city × year, and industry × year fixed effects. Robust standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

the critical roles played by the retaliatory tariff and media channels in driving the reactivation effect of the trade war.

5.2. Adding more controls and the chairperson fixed effects

A potential concern regarding the intensified effect of Korean War memories during the post-trade war era is that it may reflect the confounding influence of other triggers rather than the trade war itself. To address this issue, we include additional interaction terms between the Korean War martyr ratio and other significant geopolitical events in the regression. These events include China's party leadership transition in late 2012, the outbreak of the Russo-Ukrainian War in 2014, and the 70th anniversary of the Korean War in 2020. Specifically, we construct four time-period dummies: one for year 2013 (China's leadership change), one for years 2014–2018 (post-Russo-Ukraine War and pre-trade war), another for years 2019–2020 (post-trade war and pre-the 70th Anniversary), and one for the post-2020 period (post-70th Anniversary). We then incorporate their interaction terms with the martyr ratio into the regression.¹³ By controlling for these additional interaction effects, we aim to isolate the impact of the two key channels and reduce the possibility that the observed reactivation effect is driven by unrelated geopolitical shocks.

The results are reported in column (1) of Table 6. Controlling for the interaction effects between the Korean War martyr variable and other geopolitical shocks does not alter our main findings. The coefficients on the martyr variable and its interactions with Chinese retaliatory tariffs and the number of related articles remain negative and statistically significant. Additionally, the coefficients on the newly included interaction terms are all insignificant, suggesting that other geopolitical shocks did not trigger a significant reactivation effect comparable to that of the trade war. Furthermore, the results reaffirm the critical roles of the retaliatory tariff and media channels. Once we account for these two main channels, the difference in the effects of Korean War memories between the pre- and post-2018 periods is no longer statistically significant.

Another potential concern with our previous findings is that confounding factors related to the chairperson's birthplace, rather than Korean War martyrs, might be driving the results. To address this issue, we include a set of characteristics from the chairperson's birthplace in our regression. These characteristics include the gross domestic product (GDP) per capita, fixed assets investment per capita, and sown area of crops per capita in the chairperson's province of origin in 1953, which help control for regional economic development and agricultural production conditions. Additionally, we obtain the number of martyrs from the War against Japanese Invasion (1937–1945) in the chairperson's city of origin from the *Chinese National Heroes* website. This figure is scaled by the population in 1953 (measured in thousand people) and serves as a fourth control variable.

To account for the impact of the COVID-19 pandemic, we construct a city-year-level variable, log lockdown days, defined as the logarithm of the number of days a city was under lockdown during the pandemic. While the impact of lockdown days is absorbed by the inclusion of firm locality-year fixed effects, we include its interaction with the martyr ratio as an additional control. Column (2) of Table 6 report the estimation results with these additional controls. Adding these additional controls does not affect our main findings, and the coefficients on these additional controls are all insignificant.

In column (3), we introduce three additional controls to account for the potential effects of firms' export orientation. While our baseline specification already includes the U.S. customer ratio, we now also control for the ratio of non-U.S. foreign customers to total customers, as well as the interaction terms between these two customer ratios and the post-2018 dummy. Our results remain robust, with the three additional controls found to be statistically insignificant.

In column (4), we further control for the chairperson fixed effects, which allows us to explore variations in the relationship with U. S. firms under the leadership of the same chairperson. The inclusion of the chairperson fixed effects absorbs all time-invariant chairperson characteristics, including the Korean War martyr ratio and other attributes related to the chairperson's city of origin. Our focus in this regression is on the interaction terms. Finally, column (5) of Table 6 also includes firms' exposure to U.S. tariffs and its interaction with the martyr ratio as additional controls. Across both columns, the coefficients on the interaction terms between the martyr ratio and *CN_tariff* as well as *KW_Articles* remain significantly negative, reinforcing the finding that retaliatory tariffs and media reports amplify the negative effect of the Korean War.

5.3. Placebo tests

In this section, we conduct a series of placebo tests using data on martyrs from the War against Japanese Invasion during 1937–1945. In columns (2)–(3) of Table 6, we already include the martyrs from this war to population ratio in the chairperson's city of origin as an additional control, and we find it has not significant effect on the selection of U.S. firms. In column (1) of Table 7, we estimate Eq. (1) by substituting the Korean War martyr ratio with this martyr ratio. As expected, the results indicate that it has no effect on Chinese firms' selection of U.S. suppliers. The next three columns perform placebo tests for the retaliatory tariff and the media channels. Columns (2) and (3) test the two channels separately, while column (4) examines them simultaneously. The estimated coefficients on the War against Japanese Invasion martyr ratio and the interaction terms are found to be statistically insignificant in all three columns.

In column (5), we further test whether the chairperson's exposure to the war with Japan in the past affects Chinese firms' selection of Japanese suppliers. If past military conflicts truly have general long-lasting effects on firms' choices of suppliers through the chairperson's inherited imprinting effect, we would expect to find a significantly negative effect in this case as well. The results confirm

¹³ China's party leadership change occurred in late 2012. Since we use annual data, we use the year 2013 dummy to capture its influence.

Table 5
Alternative levels of clustering.

	Firm Level		Industry Level		City-of-origin Level		Province-of-origin Level	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Martyr	−0.054*	−0.048*	−0.054**	−0.048*	−0.054**	−0.048**	−0.054**	−0.048*
	(0.028)	(0.028)	(0.027)	(0.027)	(0.023)	(0.023)	(0.026)	(0.026)
CN_Tariff		0.210		0.210		0.210		0.210
		(0.168)		(0.202)		(0.177)		(0.144)
Martyr × CN_Tariff		−1.239**		−1.239*		−1.239*		−1.239**
		(0.626)		(0.722)		(0.666)		(0.481)
Martyr × KW_Articles		−0.036*		−0.036*		−0.036*		−0.036*
		(0.020)		(0.021)		(0.020)		(0.021)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	9642	9642	9642	9642	9642
R-squared	0.560	0.561	0.560	0.561	0.560	0.561	0.560	0.561

Notes. This table reports the estimation results by clustering standard errors at alternative levels. The dependent variable is the U.S. supplier ratio. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *CN_Tariff* is the firm's exposure to the retaliatory tariffs. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. All regressions include firm-level and chairperson-level controls, firm, firm-city × year, and industry × year fixed effects. Standard errors in columns (1) and (2) are clustered at the firm level. Standard errors in columns (3) and (4) are clustered at the industry level. Standard errors in columns (5) and (6) are clustered at the city-of-origin level. Standard errors in columns (7) and (8) are clustered the province-of-origin level. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

our hypothesis, with the estimated coefficient on the War against Japanese Invasion martyr ratio now being negative and statistically significant.

Finally, in column (6), we conduct another placebo test by adding the interaction term between the martyr from the War against Japanese Invasion and the post-trade war dummy into the regression. Since the trade war was initiated by the U.S., it should not reactivate memories of past military conflicts with Japan in China. The results align with our expectations: while the estimated coefficient on the martyr variable remains significantly negative, the coefficient on the interaction term is insignificant.

5.4. IV regression results

To further address the potential identification issues related to biases from omitted variables and measurement errors, we employ an IV regression approach. Conceptually, our IV should be correlated with the number of Korean War martyrs in each prefecture but does not affect firms' selection of U.S. suppliers via other channels. Our choice of IV is motivated by the observation that martyrs are concentrated in Chinese cities that were significant sources for soldiers participating in the Korean War.

Specifically, we use the nearest driving distance from a city to the China-North Korea border as our instrument. Existing studies have utilized distance to sites of conflict as an instrument for the intensity of wars (e.g., Aidt and Franck, 2015). In the case of the Korean War, the Chinese government rapidly mobilized the Volunteer Army to the Korean battlefield, with troops crossing the Yalu River into Korean territory less than four months after U.S. forces entered the Korean War. To expedite troop mobilization, the Chinese government recruited soldiers who had been deployed or had engaged in combat in regions close to North Korea. For example, the Fourth Field Army of the Chinese People's Liberation Army (PLA) and its predecessor, the Northeast Field Army, primarily operated in the northeastern regions during the Chinese Civil War. The main forces of this army formed the 13th Corps, which was among the first troops to enter the Korean War. Therefore, we posit that cities closer to Korea had a higher number of soldiers recruited and consequently, a larger number of Korean War martyrs.

To validate the relevance condition of our IV, we present the first-stage estimation results in column (1) of Panel A of Table 8. Consistent with our conjecture, the martyr ratio shows a significantly negative association with the distance IV. The Kleibergen-Paap F statistics also indicate that our IV passes the weak instrument tests. To further ensure that the distance IV does not affect firm supplier choices through channels other than chairperson's exposure to war trauma, we conduct a set of exclusion restriction tests and report the results in Panel B of Table 8.

First, in column (1) of Panel B, we check whether the IV is correlated with current economic development of the city. We regress the city-level log real GDP per capita on the IV along with a set of city-level controls and the province fixed effects. Second, we regress the city-level total FDI (including inward and outward) to GDP ratio, trade volume to GDP ratio, and the number of foreign tourists (in natural log) on the IV in columns (2) through (4) to check if the IV influences the selection of foreign suppliers through economic and cultural openness. Third, we analyze whether economic and diplomatic ties with the U.S. are correlated with the IV using a dummy for the presence of a U.S. consulate and the ratio of inward FDI from the U.S. to GDP as the dependent variables in columns (5) and (6), respectively. Finally, we investigate the association between our IV and the college enrollment rate, a proxy of the human capital of the city. None of the estimated coefficients on the IV are statistically significant. While we acknowledge that we cannot test all possible channels, the evidence from the first-stage results and exclusion restriction tests provides a plausible case that the IV is reasonable for

Table 6

Adding more controls and the chairperson fixed effects.

	(1)	(2)	(3)	(4)	(5)
Martyr	−0.062* (0.034)	−0.049* (0.026)	−0.049* (0.026)		
CN_Tariff	0.223* (0.122)	0.113 (0.123)	0.115 (0.123)	0.141 (0.142)	0.136 (0.145)
Martyr × CN_Tariff	−1.299*** (0.433)	−0.965** (0.450)	−0.937** (0.443)	−1.039** (0.514)	−1.158** (0.511)
Martyr × KW_Articles	−0.098* (0.055)	−0.045** (0.018)	−0.044** (0.018)	−0.045** (0.019)	−0.047** (0.020)
Martyr × Year2013	0.048 (0.050)				
Martyr × Year2014–Year2018	−0.021 (0.029)				
Martyr × Year2019–Year2020	0.066 (0.074)				
Martyr × Post2020	0.126 (0.108)				
Birthplace GDP per capita		−0.006 (0.007)	−0.006 (0.007)		
Birthplace fixed asset investment per capita		0.021 (0.045)	0.021 (0.045)		
Birthplace sown area of crops per capita		−0.000 (0.003)	−0.000 (0.003)		
Martyr (War against Japan)		0.004 (0.006)	0.004 (0.006)		
Martyr × Log lockdown days		0.013 (0.016)	0.014 (0.015)	0.014 (0.016)	0.013 (0.016)
US customer ratio × Post 2018			−0.067 (0.046)	−0.052 (0.046)	−0.052 (0.046)
Non-US foreign customer ratio			0.007 (0.010)	0.005 (0.011)	0.005 (0.011)
Non-US foreign customer ratio × Post 2018			0.008 (0.016)	0.023 (0.017)	0.022 (0.017)
US_Tariff					0.040 (0.080)
Martyr × US_Tariff					0.099 (0.250)
Controls	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes
Chairperson FE	–	–	–	Yes	Yes
No. of Obs.	9642	9156	9156	9487	9487
R-squared	0.561	0.568	0.569	0.601	0.601

Notes. This table reports a variety of sensitivity checks. The dependent variable is U.S. supplier ratio. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *CN_Tariff* is the firm's exposure to the retaliatory tariffs. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. Column (1) includes the interaction terms between martyr ratio and a set of time-period dummies. *Year2014–Year2018* equals one for years between 2014 and 2018; *Year2019–Year2020* equals one for years 2019 and 2020; *Post2020* equals one for years after 2020; *Year2013* is a dummy that equals one for year 2013. Columns (2) includes a set of characteristics from the chairperson's city-of-origin: GDP per capita, investment in fixed assets per capita, and total sown area per capita at the chairperson's province-of-origin in 1953, the ratio of martyrs from the War against Japanese Invasion, and the interaction between Korean War martyr and the number of days that parts of the firm's locality were under lockdown during the COVID-19 pandemic period. Column (3) further control for non-US foreign customer ratio, its interaction with the post 2018 dummy, and the interaction between U.S. customer ratio and the post 2018 dummy. Regressions in columns (1) to (3) include firm-level and chairperson-level controls; firm, firm-city × year, and industry × year fixed effects. Columns (4) and (5) further include the chairperson fixed effects. Column (5) additionally control for firm's exposure to U.S. tariffs and its interaction with martyr ratio. Standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

our study.

We then proceed to report the second-stage regression results in the remaining columns in Panel A of Table 8. In column (2), we present the second-stage results for Eq. (1), using the distance IV to instrument the martyr ratio. The estimated coefficient of the martyr variable is significantly negative at the 5% level, confirming that severe casualties in a chairperson's city of origin during the Korean War have a significantly negative effect on establishing a relationship with U.S. suppliers.

In the remaining columns, we estimate the IV regressions for Eqs. (3) and (4) to substantiate the retaliatory tariff and the media channels. We also control for the chairperson fixed effects in these regressions and focus on the interaction terms. Columns (3) and (4) test the retaliatory tariff and the media effects separately, with the interaction terms instrumented by the interactions of the IV with the

Table 7

Placebo tests: martyrs from the war against Japanese invasion.

	U.S. Supplier				Japanese Supplier	
	(1)	(2)	(3)	(4)	(5)	(6)
Martyr (War against Japan)	0.002 (0.006)	0.002 (0.006)	0.002 (0.006)	0.002 (0.006)	−0.011** (0.005)	−0.011* (0.006)
CN_Tariff		−0.021 (0.068)		−0.013 (0.068)		
Martyr (War against Japan) × CN_Tariff		−0.111 (0.079)		−0.128 (0.084)		
Martyr (War against Japan) × KW_Articles			0.001 (0.004)	0.003 (0.004)		
Martyr (War against Japan) × Post 2018						−0.001 (0.006)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	9642	9642	9642
R-squared	0.559	0.560	0.559	0.560	0.476	0.476

Notes: This table reports the results of placebo tests. The dependent variables are the U.S. supplier ratio in columns (1)–(4), and the Japanese supplier ratio in columns (5) and (6). *Martyr (War against Japan)* is the number of martyrs from the War against Japanese Invasion per thousand population in 1953 in chairperson's city of origin. *CN_Tariff* is the firm's exposure to the retaliatory tariffs. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. *Post 2018* is a dummy that equals one for years after 2018. All regressions include firm-level and chairperson-level controls; firm, firm-city × year, and industry × year fixed effects. Standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

tariff and the number of articles, respectively. Column (5) includes both the tariff interaction and the media interaction in the same regression. We continue to find that the firm's exposure to Chinese retaliatory tariffs and increased media coverage of the Korean War significantly amplify the negative effect of martyr in chairperson's city of origin on the selection of U.S. suppliers. In column (6), we further control for the interaction term between the martyr ratio and COVID-lockdown days. The results are similar.

5.5. Is it the choice of U.S. firms?

Establishing a supplier-customer relationship depends on the willingness of both parties. Therefore, it is possible that the attitudes of U.S. firms are driving our findings. For example, sophisticated U.S. suppliers, aware of the potential anti-U.S. sentiment among the chairpersons of their prospective Chinese customers, might choose not to establish a relationship. In this section, we address this issue by providing two pieces of evidence.

5.5.1. Evidence from individual attitudes toward the U.S.

We first provide evidence from survey data in China to demonstrate that exposure to Korean War trauma shapes individuals' attitudes toward the U.S., with this effect becoming stronger after the trade war. Specifically, we utilize survey questions from the China Family Panel Studies (CFPS) to capture individuals' attitudes toward the U.S. The CFPS is a biennial survey covering more than 800 counties from 2012 to 2020, conducted by the Institute of Social Science Survey (ISSS) of Peking University. **Given that trade relies on trust and conflicts can undermine trust (Rohner et al., 2013), we utilize the response to the question "how much do you trust in the U. S.?" as a proxy of an individual's attitude toward the U.S. This is an ordinal variable ranging from zero (least trust) to ten (most trust).** We then conduct an individual-level regression of attitudes toward the U.S. on the local Korean War martyr ratio, along with a set of individual-level controls and the year fixed effects.

The results are reported in column (1) of [Table 9](#). The estimated coefficient on the martyr variable is significantly negative at the 1% level, suggesting a more negative attitude toward the U.S. in cities with a higher Korean War martyr ratio. Column (2) includes the interaction term between the martyr ratio and the post-2018 dummy. We find that that anti-U.S. sentiment intensified after 2018, as indicated by the significantly negative coefficient on the interaction term.

Finally, while we cannot measure exposure to Chinese retaliatory tariffs at the individual level to test for the tariff channel, we are able to provide evidence regarding the media channel based on individual attitudes. In column (3), we include the interaction term between the martyr ratio and *KW_Articles*. The estimated coefficient on this interaction term is significantly negative, indicating that media coverage intensified the negative effect of the past military conflicts on Chinese individuals' attitudes toward the U.S.

5.5.2. Evidence from U.S. suppliers

Second, we provide direct evidence from the perspective of U.S. suppliers. We construct a new U.S.-firm-Chinese-city-year balanced panel based on U.S. firms labeled as suppliers in the FactSet Revere database. **We assess whether a higher martyr ratio in a Chinese city decreases the likelihood of a U.S. supplier selecting a Chinese customer whose chairperson is born in that city.** This new dataset consists of 5709 U.S. firms, 334 Chinese cities, and spans from 2009 to 2021. We estimate the following equation:

Table 8
Instrumental variable regressions.

Panel A: IV estimations						
	(1)	(2)	(3)	(4)	(5)	(6)
	First stage	Second stage				
Driving distance	−0.167*** (0.010)					
Martyr		−0.091** (0.037)				
Martyr × CN_Tariff			−3.523*** (1.165)		−3.043*** (1.166)	−3.083*** (1.167)
Martyr × US_Tariff			0.172 (0.480)		0.449 (0.510)	0.396 (0.519)
Martyr × KW_Articles				−0.165*** (0.059)	−0.135** (0.064)	−0.136** (0.064)
Martyr × Log lockdown days						0.035 (0.037)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Chairperson FE	No	No	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9487	9487	9487	9487
R-squared	0.926	0.016	0.005	0.003	0.003	0.003
Kleibergen-Paap rk Wald F statistic	–	167.76	79.86	141.45	135.19	136.83

Panel B: Exclusion restrictions tests							
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
	GDP per capita	FDI	Trade	Foreign tourists	US consulate	US FDI	College Enrollment
IV: Distance	−0.015 (0.042)	−0.117 (0.079)	−0.574 (0.608)	−0.118 (0.089)	0.006 (0.007)	0.008 (0.016)	−0.004 (0.009)
Temperature	0.007 (0.010)	0.015 (0.026)	0.550*** (0.180)	−0.112*** (0.039)	−0.000 (0.001)	−0.001 (0.005)	0.010* (0.006)
Rainfall	0.045 (0.031)	0.106 (0.106)	1.802* (0.972)	0.116 (0.107)	0.009 (0.008)	0.051 (0.036)	−0.017 (0.034)
Humidity	−0.022*** (0.007)	−0.006 (0.017)	−0.284* (0.167)	−0.018 (0.022)	0.001 (0.001)	−0.002 (0.004)	0.000 (0.004)
Population growth	−0.013** (0.007)	0.006 (0.011)	−0.022 (0.159)	−0.037** (0.019)	0.000 (0.001)	0.015 (0.011)	0.001 (0.007)
Province FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	1834	2024	1787	2139	2337	2337	2337
R-squared	0.483	0.255	0.350	0.507	0.382	0.268	0.954

Notes. This table reports IV regression results. Panel A presents the first stage and second stage results in column (1) and columns (2)–(6), respectively. The IV, *distance*, is the logarithm of the distance from the city to the China-North Korea border. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *CN_Tariff* is the firm's exposure to the retaliatory tariffs. *US_Tariff* is the firm's exposure to tariff increases imposed by U.S. government. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. *Log lockdown days* is the logarithm of the number of days that parts of the firm's locality were under lockdown during the COVID-19 pandemic. All IV regressions include firm- and chairperson-level controls, firm, firm-city × year and industry × year fixed effects. Regressions in columns (3)–(6) further include chairperson fixed effects.

Panel B reports exclusion restriction tests using a panel of prefectures. The dependent variables in columns (1)–(7) are GDP per capita, the value of total foreign direct investments (FDI) to GDP ratio, the total value of imports and exports to GDP ratio, the log number of foreign tourists, a U.S. consulate dummy, the value of inward FDI from the U.S. to GDP ratio, and the ratio of population enrolled in college, respectively. All regressions in Panel B include Chinese province and year fixed effects. City-level controls include temperature, precipitation, humidity, and the population growth. Standard errors clustered at the city level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

$$CN_Customer_{c,k,t} = \alpha Martyr_k + \beta X_{c,t} + \gamma Z_{k,t} + \lambda_c + \tau_t + \varepsilon_{c,k,t}, \# \quad (5)$$

where c denotes a U.S. firm, k denotes chairperson's city of origin of the Chinese customer firm, and t denotes the year. The dependent variable, $CN_Customer_{c,k,t}$, is a dummy variable indicating whether, in year t , the U.S. firm c has at least one Chinese customer whose chairperson is born in Chinese city k . $Martyr_k$ is the number of Korean War martyrs per thousand population in 1953 in city k . We also control for a set of time-varying U.S. firm-level variables, $X_{c,t}$, and Chinese city-level variables, $Z_{k,t}$, along with the U.S. firm and time fixed effects in the regression. Standard errors are clustered at the city level.

We report estimation results from Eq. (5) in Table 10. In column (1), the coefficient on the martyr ratio is statistically insignificant.

Table 9
Individual attitudes toward the U.S.

	(1)	(2)	(3)
Martyr	−0.458*** (0.090)	−0.392*** (0.100)	−0.421*** (0.095)
Martyr × Post 2018		−0.133** (0.062)	
Martyr × KW_Articles			−0.125** (0.058)
Age ≤ 30	0.949*** (0.074)	0.948*** (0.074)	0.948*** (0.074)
Age (30–45)	−0.013 (0.066)	−0.013 (0.066)	−0.013 (0.066)
Age (45–60)	−0.120** (0.056)	−0.120** (0.056)	−0.120** (0.056)
Middle school	−0.112** (0.048)	−0.112** (0.048)	−0.112** (0.048)
High school	0.243*** (0.067)	0.243*** (0.067)	0.243*** (0.067)
University and above	0.888*** (0.091)	0.887*** (0.091)	0.887*** (0.091)
Male	−0.035 (0.031)	−0.035 (0.031)	−0.035 (0.031)
Year FE	Yes	Yes	Yes
No. of Obs.	45,439	45,439	45,439
R-squared	0.078	0.078	0.078

Notes. This table examines the effects of war memories on individual attitudes toward the U.S. The dependent variable is the individual's response of the question “how much do you trust in the U.S.?”; an ordinal variable that ranges from zero (least trust) to ten (most trust). *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. *Post 2018* is a dummy for years after 2018. *KW_Articles* is the demeaned logarithm of the annual number of articles related to the Korean War in the *People's Daily*. The individual-level controls include the respondent's age and education levels. All regressions include year fixed effects. Standard errors clustered at the city level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

That is, the severity of casualties in the Korean War does not affect the customer decisions of U.S. suppliers. In column (2), we add the interaction term between the martyr ratio and the post 2018 dummy. The coefficient on the interaction term is not significant either. Overall, the results in Tables 9 and 10 do not support the alternative hypothesis that our previous findings are driven by U.S. suppliers' choices.

6. Conclusions

Understanding how military and trade conflicts affect global trade and supply chains is an important yet under-researched topic. This study contributes to the literature by examining the impacts of two significant conflicts between China and the U.S.—the Korean War and the ongoing trade war—on Chinese firms' selection of U.S. suppliers.

Using hand-collected data of 188,285 Korean War martyrs and firm-to-firm supply chain data from the FactSet Revere database, we show that past military conflicts have a long-lasting effect on global supply chains. Specifically, Chinese firms are less likely to select U.S. firms as suppliers if the chairperson's city of origin has a higher martyr ratio. Furthermore, we find strong evidence that the negative impact of the Korean War intensifies significantly during the trade war. Consistent with the associative nature of memories, this suggests that when current events, such as the trade war, resemble past conflicts, the renewed salience of these memories amplifies the long-term effects of the past war. Notably, the enduring negative impact of Korean War memories and their reactivation during the trade war are U.S.-specific and do not extend to other foreign suppliers. These findings align with China's framing of the U.S. as the primary adversary during the Korean War and the fact that the U.S. initiated the trade war.

Additionally, we identify two key mechanisms driving the reactivation effect of the trade war: the retaliatory tariff channel and the media channel. Our analysis shows that higher sourcing costs from the U.S. due to retaliatory tariffs, combined with increased media coverage of the Korean War, amplify its negative impact. When decomposing the overall effect into the extensive and intensive margins, we find that Korean War memories consistently influence the intensive margin throughout the entire sample period. Moreover, the trade war significantly intensified the effect of war trauma on both the extensive and intensive margins through the retaliatory tariff and media channels.

A variety of empirical strategies suggest that our findings are causal. Our baseline specification controls for a comprehensive set of firm-level and chairperson-level controls along with the firm, firm-locality-year, and industry-year fixed effects. We leverage “moving” chairpersons, whose city of origin differs from their firm locality, to isolate the inherited imprinting effect from the external environment faced by the firm. Our results remain robust when using alternative approaches to cluster the standard errors, controlling for other geopolitical shocks, additional chairperson birthplace characteristics, firms' export orientation, the number of lockdown days in the firm's locality during the COVID period, and including the chairperson fixed effects. A series of placebo tests utilizing martyrs from

Table 10
Evidence from U.S. suppliers.

	(1)	(2)
Martyr	−0.005 (0.040)	0.027 (0.055)
Martyr × Post 2018		−0.322 (0.410)
Log asset	0.060* (0.035)	0.060* (0.035)
ROA	0.061 (0.045)	0.061 (0.045)
Leverage	0.216** (0.090)	0.216** (0.090)
Tobin's q	0.044** (0.019)	0.044** (0.019)
Board size	−0.001 (0.008)	−0.001 (0.008)
Board independence	−0.141 (0.208)	−0.141 (0.208)
Log GDP per capita	0.115 (0.073)	0.117 (0.075)
Log population	0.205** (0.094)	0.204** (0.093)
FDI	−0.010 (0.018)	−0.011 (0.019)
Trade	0.010** (0.005)	0.010** (0.005)
Foreign tourists	−0.019 (0.020)	−0.020 (0.021)
US consulate	−0.028 (0.259)	−0.027 (0.257)
US FDI	0.040*** (0.015)	0.040*** (0.014)
Firm FE	Yes	Yes
Year FE	Yes	Yes
No. of Obs.	3,415,332	3,415,332
R-squared	0.006	0.006

Notes. This table examines the effect of a city's martyr intensity on U.S. suppliers' choice of Chinese customers using a sample of U.S.-firm-Chinese-city-year balanced panel. The dependent variable is a dummy variable that equals one if the U.S. firm has at least one Chinese customer whose chairperson is born in a specific city and zero otherwise. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in a Chinese city. *Post 2018* is a dummy for years after 2018. All regressions include firm- and city-level controls; firm and year fixed effects. Standard errors clustered at the city level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

the War against Japanese Invasion during 1937–1945 lends further confidence to our findings. We also consider an IV regression approach, using the nearest driving distance to the China-North Korea border as an instrument.

Finally, we also provide two additional pieces of evidence to ensure that our findings are not driven by U.S. suppliers' choices. The first piece of evidence shows that residents in Chinese cities with a higher Korean War martyr ratio have a more negative attitude toward the U.S. today, and that an increase of media coverage of the war during the post trade war period further exacerbates their negative attitudes. Second, we construct a U.S.-firm-Chinese-city-year panel and demonstrate that the martyr intensity in the chairperson's city of origin does not affect the likelihood of the firm being selected as a customer by U.S. firms.

Our paper contributes to the literature on the effects of military conflicts on trade and adds to the burgeoning body of research examining the impacts of the trade war between China and the U.S. on globalization. We provide new evidence that past military conflicts can have long-lasting effects on global supply chains today. Additionally, we identify a novel effect of the trade war that is new to the literature: it can reactivate memories of past military conflicts and amplify their current impact on firms' supplier choices. A

potential limitation of our study is that detailed information on chairpersons' birthplaces and firm supply chains is available only for a sample of listed firms, which may not fully represent the broader Chinese economy. Listed firms in China generally exhibit stronger corporate governance, making their corporate decisions less likely to be influenced by chairpersons' personal preferences. Nevertheless, we still observe a negative effect of war trauma on the choice of U.S. suppliers, as well as a reactivation effect of the trade war, even within these firms. This suggests that the impact may be even greater in non-listed firms, which tend to have weaker corporate governance. As a result, our estimates are likely conservative.

Declaration of competing interest

The authors declare the following financial interests/personal relationships which may be considered as potential competing interests:

Yichuan Hu reports financial support was provided by National Natural Science Foundation of China (No.72203159). Chang Li reports financial support was provided by National Natural Science Foundation of China (No. 72341012). If there are other authors, they declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Acknowledgements

The authors would like to thank the editor, Laura Alfaro, two anonymous referees, Ying Bai, Dan Lyu, Kang Shi, Haichun Ye, and Yifan Zhang for helpful suggestions. We thank seminar participants at the Chinese University of Hong Kong for comments. Yichuan Hu acknowledges financial support from the National Natural Science Foundation of China (No. 72203159). Chang Li acknowledges financial support from the National Natural Science Foundation of China (No. 72573058).

Appendix A. Appendix figures

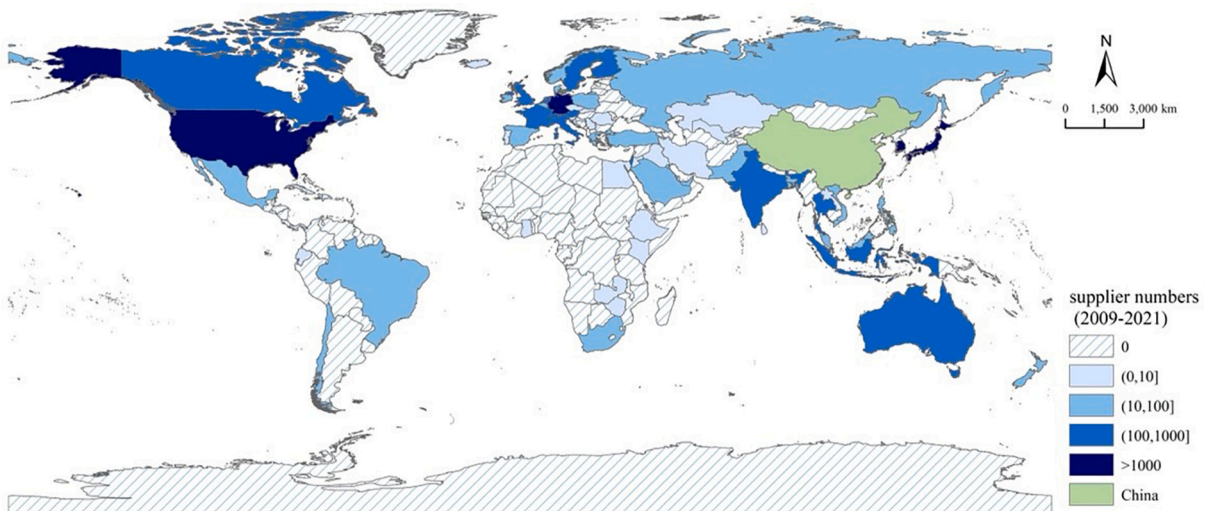


Fig. A1. Sourcing countries of Chinese firms.

Notes: This figure depicts the global distribution of Chinese firms' suppliers. Countries with more (less) suppliers are shaded in darker (lighter) blue. China is colored in green. Countries with no data are marked with diagonal slashes.

高文茂 烈士

基本信息
Basic information
 性别: 男性
Gender: Male
 籍贯: 北京市
Birthplace: Beijing
 出生日期: 1927年8月
Date of birth: August 1927
 政治面貌: 中国共产党党员
Political status: CPC member

生前情况
Pre-death information
 生前职务: 班长
Position: Squad leader
 立功情况: N/A
Honors: N/A

牺牲情况
Details of sacrifice
 牺牲日期: 1951年1月
Time: January 1951
 牺牲地点: 朝鲜
Place: North Korea
 牺牲原因: 不详
Cause: Not specified
 安葬地点: 朝鲜横城郡烈士陵园
Burial site: Martyrs' Cemetery in Hyeongscheon County, North Korea

烈士事迹
Martyr deeds
 高文茂, 男, 1927年8月出生于北京市门头沟区, 中共党员。1946年4月参加革命, 1951年1月在朝鲜战场上英勇牺牲, 生前任中国人民志愿军196师588团班长, 现安葬于朝鲜横城郡烈士陵园。

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Fig. A2. An illustration of a martyr recorded on the website of *Chinese National Heroes*.

Notes: This figure offers an example of a martyr record. The page for each martyr displays information on gender, birthday, city of origin, position, whether the soldier earned any honors, and date, cause, and place of martyrdom, as well as the deeds of the martyr.

Appendix B. Variable definitions and sources

B.1. Region-level variables

Martyr is the number of deaths during the Korean War per thousand population in 1953 in the chairperson's city of origin. *Unit*: per thousand people. *Source*: *Chinese National Heroes* website and *1985 China Population Statistical Yearbook*.

Birthplace GDP per capita is the nominal GDP per capita of the chairpersons' province-of-origin in 1953. *Unit*: thousand CNY. *Source*: *China Compendium of Statistics 1949–2008*.

Birthplace fixed asset investment per capita is the total investment in fixed assets per capita of the chairpersons' province-of-origin in 1953. *Unit*: thousand CNY. *Source*: *China Compendium of Statistics 1949–2008*.

Birthplace sown area of crops per capita is the sown area per capita of the chairpersons' province-of-origin in 1953. *Unit*: hectares. *Source*: *China Compendium of Statistics 1949–2008*.

Martyr (War against Japan) is the number of deaths during the War against Japanese Invasion (1937–1945) per thousand population in 1953 in the chairperson's city of origin. *Unit*: per thousand people. *Source*: *Chinese National Heroes* website and *1985 China Population Statistical Yearbook*.

Log lockdown days is the logarithm of one plus the number of days that parts of the city were under lockdown during the COVID-19 pandemic. *Unit*: log days. *Source*: government websites, newspapers, and Baidu search.

Driving distance is the logarithm of the nearest driving distance from the city to the China-North Korea border. *Unit*: log kilometers. *Source*: GaoDe map.

FDI is the total value of inward and outward foreign direct investments divided by the city's GDP. *Unit*: percentage points. *Source*: *fDi Markets* database compiled by the Financial Times; CSMAR.

Trade is the total value of imports and exports divided by the city's GDP. *Unit*: percentage points. *Source*: CSMAR.

Foreign tourists is the logarithm of the annual number of foreign tourists. *Unit*: log persons. *Source*: CSMAR.

US consulate is a dummy variable that equals one for the presence of a U.S. consulate in a city, and zero otherwise. *Source*: <https://china.usembassy-china.org.cn>.

US FDI is the value of inward foreign direct investments from the U.S. divided by the city's GDP. *Unit*: percentage points. *Source*: *fDi Markets* database compiled by the Financial Times; CSMAR.

College enrollment is the share of population enrolled in college. *Unit*: percentage points. *Source*: CSMAR.

Temperature is the annual average of the daily maximum and minimum temperatures in each city. *Unit*: Kelvin (k). *Source*: National Meteorological Information Center.

Rainfall is the annual average of daily precipitation in each city. *Unit*: millimeter (mm). *Source*: National Meteorological Information Center.

Humidity is the annual average of daily humidity in each city. *Unit*: percentage points. *Source*: National Meteorological Information Center.

B.2. Firm-level variables

US_ratio is the number of U.S. suppliers scaled by the total number of suppliers. *Source*: FactSet Revere.

US_dummy is a dummy that equals one if the firms has at least one U.S. supplier in a given year and zero otherwise. *Source*: FactSet Revere.

CN_tariff is the firm's exposure to the retaliatory tariffs imposed by the Chinese government. The measure is calculated using Eq. (2). *Source*: Chinese Ministry of Finance and Chinese Customs database.

US_tariff is the firm's exposure to tariff increases imposed by the U.S. government. See footnote 12 for details on the calculation methodology. *Source*: US Federal Register, Office of the US Trade Representative and Chinese Customs database.

US_customer_ratio is the number of U.S. customers scaled by the total number of customers. *Source*: FactSet Revere.

Non-US foreign customer ratio is the number of non-U.S. foreign customers scaled by the total number of customers. *Source*: FactSet Revere.

Log asset is the logarithm of the firm's total assets. *Unit*: log ten thousand CNY. *Source*: CSMAR.

ROA is return on assets. *Source*: CSMAR.

Leverage is the ratio of total liabilities to total assets. *Source*: CSMAR.

Tobin's q is the ratio of the market value to book value of assets. *Source*: CSMAR.

Board size is the logarithm of the total number of board directors. *Unit*: log persons. *Source*: CSMAR.

Board independence is the proportion of independent directors among the board members. *Source*: CSMAR.

SOE is a dummy variable that equals one if over 50% of the firm's shares are held by the state, and zero otherwise. *Source*: CSMAR.

Domestic_sales is the share of domestic sales in firms' total sales. *Source*: Chinese Research Data Services Platform (CNRDS).

FDI_exp is a dummy equal to one if the firm has undertaken greenfield investments prior to a given year, and zero otherwise. *Source*: *fDi Markets*.

MA_exp is a dummy variable equal to one if the firm has undertaken cross-border mergers and acquisitions prior to a given year, and zero otherwise. *Source*: SDC Platinum.

CN_HHI is the Herfindahl–Hirschman Index constructed by the formula $\sum_{i=1}^N Share_{ist}^2$, where $i = 1, 2, \dots, N$, denotes the number of listed firms in China's industry s , and $Share_{it}$ represents the proportion of operating income of firm i within industry s at year t . *Source*: Compustat.

US_dominance is the U.S. market dominance in Chinese firms' upstream industries. Specifically, the variable is constructed as follows:

$$US_dominance_{j,s,t} = \sum_{n=1}^{n=N} supdepend_ratio_{s,n} \times \frac{Exp_{n,us,t-1}}{WorldExp_{n,t-1}}, \quad (B1)$$

where j and s denote the Chinese firm and its industry, respectively. $n=1, 2, \dots, N$ denotes the set of upstream industries of industry s . $supdepend_ratio_{s,n}$ is the proportion of the value of intermediate goods supplied by industry n in the total value of intermediate goods used by industry s in China at the initial year of our sample (2009). $\frac{Exp_{n,us,t-1}}{WorldExp_{n,t-1}}$ is the U.S. share in in global exports of industry n at year $t-1$. We use the concordance table from the World Integrated Trade Solution (WITS) to convert HS 6-digit codes in export data into SIC 4-digit codes, and then manually map them to the 35 industries in World Input-Output tables based on industry descriptions. *Source*: CEPII; World Input-Output Database (WIOD).

Diff_goods is a dummy indicating whether the upstream industry linked to the focal Chinese firm produces differentiated goods. For each firm, we use the World Input-Output Tables to identify the upstream industries based on input linkages. We then map IO industries to Rauch (1999) classification to determine whether their goods are categorized as differentiated, traded on an organized exchange, or reference priced. The mapping is conducted through two stages of industry concordance: first from SITC 4-digit code in Rauch (1999)'s data to the 4-digit SIC classification, and then from the SIC codes to IO industries in WIOD. *Diff_goods* is set to one if at least one mapped upstream industry is classified as differentiated, and zero otherwise. *Source*: World Input-Output Database (WIOD); Rauch (1999).

B.3. Chairperson-level variables

Female is a dummy variable that equals one if the chairperson is female and zero otherwise. *Source*: CSMAR.

Age is the age of the chairperson. *Unit*: years. *Source*: CSMAR.

Chair_univ is a dummy variable that equals one if the chairperson has a bachelor's degree or higher, and zero otherwise. *Source*: CSMAR.

B.4. Time-series variables

KW_Articles is the demeaned logarithm of the annual number of articles that refer to the Korean War in the People's Daily. Specifically, for each year t , let A_t denote the count of Korean War-related articles in the *People's Daily*. $KW_Articles_t$ is defined as the demeaned log count: $KW_Articles_t = \ln A_t - \frac{1}{T} \sum_{\tau} \ln A_{\tau}$, where T is the number of years in the sample. *Unit*: log number. *Source*: People's

Daily website, <http://data.people.com.cn/>.

Baidu Index is the demeaned logarithm of the annual Baidu index for the keyword “Korean War” (*Kang Mei Yuan Chao*, in Chinese). The calculation procedure is the same as in *KW_Articles*. Unit: log number. Source: <https://index.baidu.com>.

B.5. Individual-level variables

Trust in U.S. is the individual's response of the question “how much do you trust in the U.S.?” that ranges from zero (least trust) to ten (most trust). Source: CFPS.

Age ≤ 30 is a dummy indicating whether the respondent's age is below 30. Source: CFPS.

Age (30–45) is a dummy indicating whether the respondent's age falls within the range of 30 to 45. Source: CFPS.

Age (45–60) is a dummy indicating whether the respondent's age falls within the range of 45 to 60. Source: CFPS.

Middle school is a dummy indicating whether the respondent's highest level of education is middle school. Source: CFPS.

High school is a dummy indicating whether the respondent's highest level of education is high school. Source: CFPS.

University and above is a dummy indicating whether the respondent holds a bachelor's degree or higher. Source: CFPS.

Male is a dummy variable that equals one if the respondent is male and zero otherwise. Source: CFPS.

Appendix C. Summary statistics

Variables	N	Mean	SD	Min	Max
A. Region level					
<i>Martyr</i>	9642	0.264	0.197	0.000	1.007
<i>Martyr (War against Japan)</i>	9642	0.493	0.786	0.000	4.191
<i>Birthplace GDP per capita</i>	9340	1.651	2.209	0.114	20.273
<i>Birthplace fixed asset investment per capita</i>	9340	0.111	0.168	0.011	1.147
<i>Birthplace sown area of crops per capita</i>	9185	3.257	3.661	0.079	30.224
<i>Log lockdown days</i>	9642	0.077	0.506	0.000	4.466
<i>Driving distance</i>	9642	7.288	0.633	0.001	8.173
<i>FDI</i>	3401	1.864	2.249	0.006	27.130
<i>Trade</i>	2980	7.999	15.407	0.002	115.628
<i>Foreign tourists</i>	3666	3.609	2.350	0.000	9.409
<i>US consulate</i>	4054	0.019	0.137	0.000	1.000
<i>US FDI</i>	4054	0.199	0.975	0.000	6.068
<i>College enrollment</i>	4054	15.585	6.237	3.240	63.000
<i>Temperature</i>	3428	12.242	6.424	−10.200	27.743
<i>Rainfall</i>	3428	2.777	1.537	0.138	8.595
<i>Humidity</i>	3428	68.650	10.105	36.457	88.698
<i>Population growth</i>	2715	5.232	5.097	−16.500	61.930
B. Firm level					
<i>US_ratio</i>	9642	0.042	0.156	0.000	1.000
<i>US dummy</i>	9642	0.107	0.309	0.000	1.000
<i>Log asset</i>	9642	22.460	1.340	16.962	28.416
<i>ROA</i>	9642	0.043	0.108	−0.216	0.212
<i>Leverage</i>	9642	0.441	0.236	0.013	8.612
<i>Tobin's q</i>	9642	1.998	1.526	0.674	41.886
<i>Board size</i>	9642	9.675	3.219	4.000	34.000
<i>Board independence</i>	9642	0.373	0.057	0.182	0.800
<i>SOE</i>	9642	0.337	0.473	0.000	1.000
<i>US customer ratio</i>	9642	0.032	0.125	0.000	1.000
<i>Domestic sales</i>	9642	0.617	0.418	0.000	1.000
<i>FDI exp</i>	9642	0.059	0.236	0.000	1.000
<i>MA exp</i>	9642	0.077	0.267	0.000	1.000
<i>CN HHI</i>	9642	0.113	0.116	0.000	0.890
<i>Diff goods</i>	9642	0.710	0.454	0.000	1.000
<i>US dominance</i>	9642	0.052	0.019	0.011	0.109
<i>CN_tariff</i>	9642	0.011	0.038	0.000	0.216
<i>US_tariff</i>	9642	0.022	0.069	0.000	0.553
C. Chairperson level					
<i>Age</i>	9642	53.859	7.385	24.000	82.000
<i>Female</i>	9642	0.035	0.183	0.000	1.000
<i>Chair_univ</i>	9642	0.650	0.477	0.000	1.000
D. Time-series					
<i>KW_articles</i>	9642	0.030	0.642	−0.919	1.462

(continued on next page)

(continued)

Variables	N	Mean	SD	Min	Max
<i>Baidu Index</i>	8601	0.023	0.460	−0.527	0.970
<i>E. Individual level</i>					
<i>Trust in U.S.</i>	45,439	2.358	2.537	0.000	10.000
<i>Age ≤ 30</i>	45,439	0.264	0.441	0.000	1.000
<i>Age (30–45)</i>	45,439	0.212	0.409	0.000	1.000
<i>Age (45–60)</i>	45,439	0.292	0.455	0.000	1.000
<i>Middle school</i>	45,439	0.334	0.472	0.000	1.000
<i>High school</i>	45,439	0.161	0.368	0.000	1.000
<i>University and above</i>	45,439	0.124	0.330	0.000	1.000
<i>Male</i>	45,439	0.496	0.500	0.000	1.000

Appendix D. Heterogeneity

In this appendix, we provide additional results exploring potential heterogeneity in the combined effects of war trauma and trade tensions across firms and industries. We modify the baseline specification (Eq. (1)) by incorporating a set of interaction terms:

$$\begin{aligned}
 US_{Ratio_{i,j,k,t}} = & \alpha Martyr_{i,k,t} + \beta_1 Z_{j,s,t} + \beta_2 Martyr_{i,k,t} \times post2018_t + \\
 & \beta_3 Martyr_{i,k,t} \times Z_{j,s,t} + \beta_4 Z_{j,s,t} \times post2018_t \\
 & + \beta_5 Martyr_{i,k,t} \times Z_{j,s,t} \times post2018_t \\
 & + \gamma X_{i,j,t} + \mu_j + \lambda_{l,t} + \tau_{s,t} + \varepsilon_{i,j,k,t}
 \end{aligned} \quad (D1)$$

where $post2018_t$ is a dummy for years after 2018. $Z_{j,t/s,t}$ represent a firm or industry characteristic. Our main focus is on the triple interaction term, $Martyr_{i,k,t} \times Z_{j,t/s,t} \times post2018_t$. A negative (positive) and statistically significant coefficient on this martyr variable (β_5) indicates that this firm or industry characteristic can amplify (mitigate) the reactivation effects of the trade war.

We consider 7 of such characteristics. The first variable is state ownership. Compared to profit-driven privately-owned firms, state-owned enterprises (SOEs) in China are more likely to pursue social or chairperson private objectives. The second set of characteristics aims to capture firm international experience. The share of domestic sales in total sales (*domestic_sales*) reflects the dependence on domestic versus foreign markets. *FDI_exp* and *MA_exp* are dummy variables indicating whether the firm had undertaken greenfield or cross-border M&A investments.

We also consider three industry-level competitiveness proxies. *CN_HHI* is the Herfindahl–Hirschman Index for the sector of a Chinese firm. Specifically, it is defined as $\sum_{i=1}^N Share_{ist}^2$, where $i = 1, 2, \dots, N$, denotes the number of listed firms in industry s , and $Share_{it}$ represents the proportion of operating income of firm i within industry s at year t . Higher values indicate a more concentrated market and weaker competitive pressure in this sector. *diff_goods* is a dummy indicating whether the upstream industries linked to the focal Chinese firm produce differentiated goods based on Rauch's (1999) classification.

The last variable, *US_dominance*, measures the extent of U.S. market dominance worldwide in Chinese firms' upstream industries. Specifically, the variable is constructed as follows:

$$US_dominance_{j,s,t} = \sum_{n=1}^{n=N} supdepend_ratio_{s,n} \times \frac{Exp_{n,us,t-1}}{WorldExp_{n,t-1}}, \quad (D2)$$

where j and s denote the Chinese firm and its industry, respectively. $n=1, 2, \dots, N$ denotes the set of upstream industries of industry s . $supdepend_ratio_{s,n}$ is the proportion of the value of intermediate goods supplied by industry n in the total value of intermediate goods used by industry s in China at the initial year of our sample (year 2009). $\frac{Exp_{n,us,t-1}}{WorldExp_{n,t-1}}$ is the U.S. share in in global exports of industry n at year $t-1$. The export data are collected from CEPII database. We use the concordance table provided by the World Integrated Trade Solution (WITS) to convert HS 6-digit codes in the export data into SIC 4-digit codes, and then manually map them to the 35 industries in World Input-Output tables based on industry descriptions.

The results are reported in Appendix Table D1. For the sake of space saving, we only report the estimated coefficients on $Martyr_{i,k,t}$, $Martyr_{i,k,t} \times post2018_t$, and the triple interaction term. Overall, the results suggest that the reactivation effects of the trade war are quite general across firms and industries, as most of the coefficients on the triple interaction terms are statically insignificant. The only factor that can alleviate the reactivation effect of the trade war is U.S. market dominance. The coefficient on the triple interaction term in column (7) is significantly positive, indicating that the U.S. market dominance can significantly weaken the reactivation effect of the trade tensions.

D.1. Appendix references

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Appendix Table D1
Exploring heterogeneity.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Moderator	SOE	Domestic_sales	FDI exp	M&A exp	CN_HHI	diff_goods	US_dominance
Martyr	0.028 (0.044)	−0.027 (0.028)	−0.037* (0.021)	−0.046** (0.021)	−0.012 (0.025)	−0.052** (0.026)	−0.054 (0.047)
Martyr × Post 2018	−0.078** (0.034)	−0.071** (0.033)	−0.040* (0.024)	−0.041* (0.024)	−0.048 (0.031)	−0.024 (0.042)	−0.171** (0.068)
Martyr × Characteristic × Post 2018	0.070 (0.051)	0.039 (0.043)	−0.083 (0.082)	−0.128 (0.095)	−0.039 (0.140)	−0.037 (0.049)	2.489** (1.101)
Other double interactions	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm-city × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Industry × Year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes
No. of Obs.	9642	9642	9642	9642	9642	9642	9642
R-squared	0.561	0.560	0.561	0.561	0.561	0.560	0.560

Notes. This table reports the results of heterogeneity analyses. The dependent variable is the U.S. supplier ratio. *Martyr* is the number of Korean War martyrs per thousand population in 1953 in chairperson's city of origin. Characteristic corresponds to SOE, domestic sales share, FDI exp., MA exp., CN HHI, diff goods, and US dominance in columns (1)–(7), respectively. The variable definitions can be found in Appendix B. All regressions include all other double interactions between the moderator and martyr variable, and between the moderator and the post 2018 dummy; firm-level and chairperson-level controls, firm, firm-city × year, and industry × year fixed effects. Robust standard errors clustered at the city-of-origin-year level are reported in parentheses. ***, **, and * indicate the significance levels of 1%, 5%, and 10%, respectively.

Data availability

Historical Military Conflict, Current Trade Tensions, and Global Supply Chains (Reference data) (Mendeley Data)

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